Canadian life & health insurers: peer investment landscape

RBC Life against 19 peers: discount curves, portfolio composition and investment risk (market, credit, liquidity)

Data as at year end 2025 and the latest 2026 filings. Prepared 28 October 2026.
Built with the financial-analysis plugin's competitive-analysis framework.

RBC Life runs a high-quality but thinly capitalised book, with two concentrations peers do not have

- **Scale and capital.** RBC Life is the 5th largest general account (C$25.7Bn of 18) but its 132% LICAT ratio is the third-lowest of 17, 27 points under the 159% median.
- **Discount curve.** Its IFRS 17 curve values liabilities 0.24% below the peer median (C$24MM per C$10Bn), inside a C$876MM range from iA (most generous) to Primerica (most conservative).
- **Portfolio mix.** Public bonds dominate (64%), private credit is 19.4% (4th highest of 18) and alternatives are small (2.1%).
- **Concentrations.** 37.6% of corporate bonds are coded Energy (median 10.7%) and repos fund 14.1% of the portfolio, about 3x the next peer.
- **Par and disclosure.** RBC's filed par curve sits 177 bp under its dividend scale rate, the widest gap; it publishes no market sensitivities, while disclosing peers lose C$16–336MM on a C$25Bn book in moderate shocks.

Source: analyses on the following slides; peer medians exclude no insurer. Scale: C$ general-account invested assets at each insurer's latest filing.

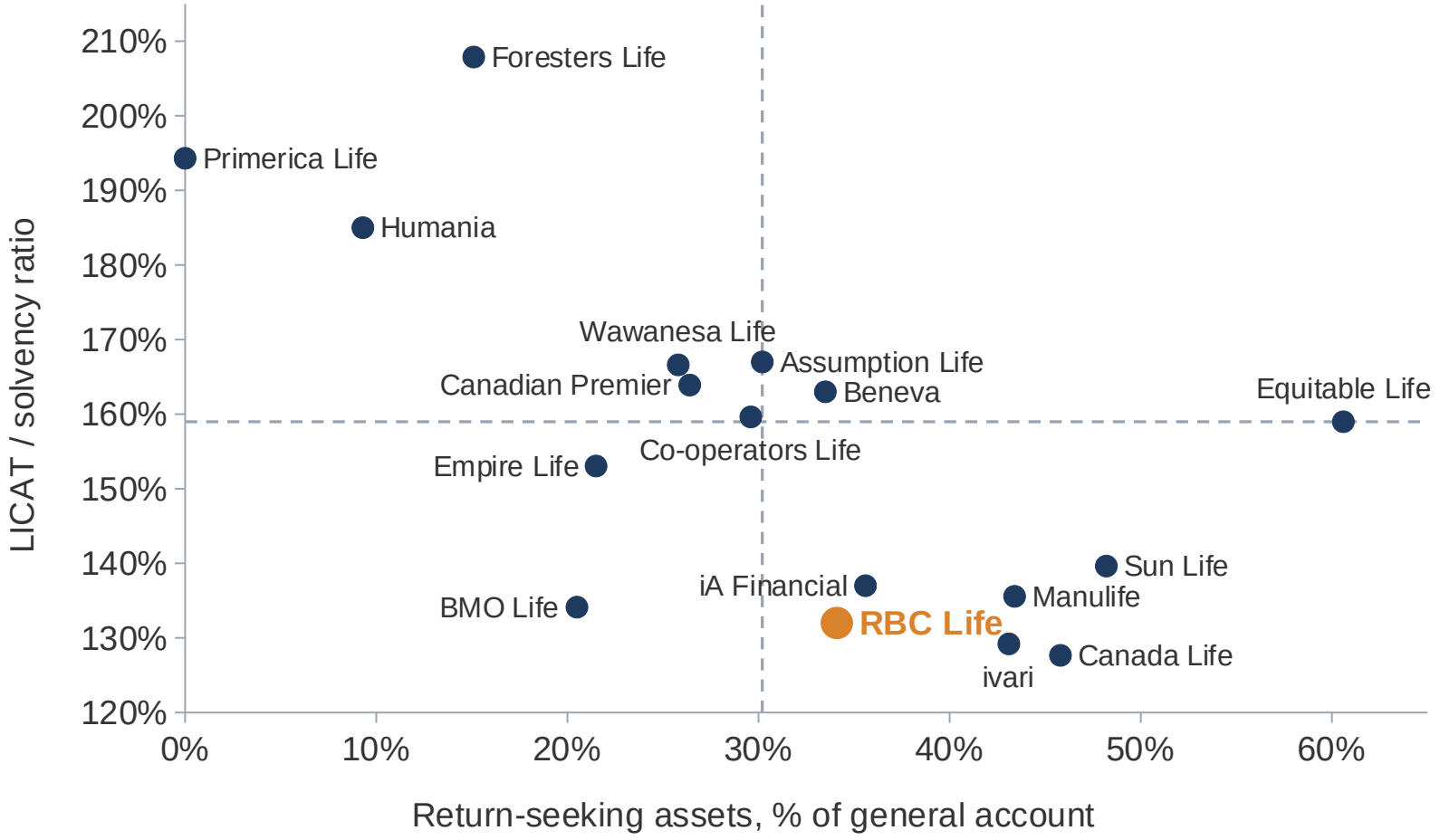
Twenty insurers in five strategic groups; RBC Life competes with BMO Life as the bank-owned pair

Group	Ownership / regulator	Insurers (general account, C$Bn)
Big three groups	Listed, global, OSFI	Manulife 451.3; Sun Life 208.6; Canada Life 99.1
Quebec and mutual leaders	AMF; iA listed, Desjardins and Beneva cooperative/mutual	iA Financial 46.2; Desjardins n/d; Beneva 12.1
Bank-owned	**OSFI, October fiscal year**	**RBC Life 25.7; BMO Life 18.2**
Mid-size	OSFI; stock, mutual and Sagicor-owned	ivari 11.8; Empire Life 10.2; Equitable Life 7.8; Co-operators Life 6.0; Wawanesa Life 1.3
Niche and small	OSFI, AMF, FCNB; fraternal, mutual, distribution-led	Foresters Life 0.8; Canadian Premier 0.7; Primerica Life 0.4; Assumption Life 0.8; UV Insurance 2.4; Humania 0.4

Canada Protection Plan reports inside Foresters Life; Desjardins' life portfolio is not published apart from Desjardins Group (n/d).

Source: OSFI, AMF and FCNB registers; general-account size from the portfolio composition analysis (latest filing, C$Bn). Coverage gaps listed on the method slide.

Positioning: RBC Life takes median-level investment risk on a below-median capital buffer



Reading the map

Dashed lines are peer medians: 30% return-seeking assets and a 159% capital ratio.

RBC Life: 34% return-seeking, 132% capital ratio. It sits with the big three and ivari in the lower half: similar risk appetite, thinner buffer.

Equitable Life takes the most risk (equities 36%) but holds a 159% ratio; Foresters and Primerica hold the most capital.

Source: LICAT total ratio (OSFI LCQ FY2025 Q4; CARLI/solvency ratio for iA, Beneva, Assumption, Humania); return-seeking = equity, real estate, PE + private credit, % of general account. UV and Desjardins: no ratio.

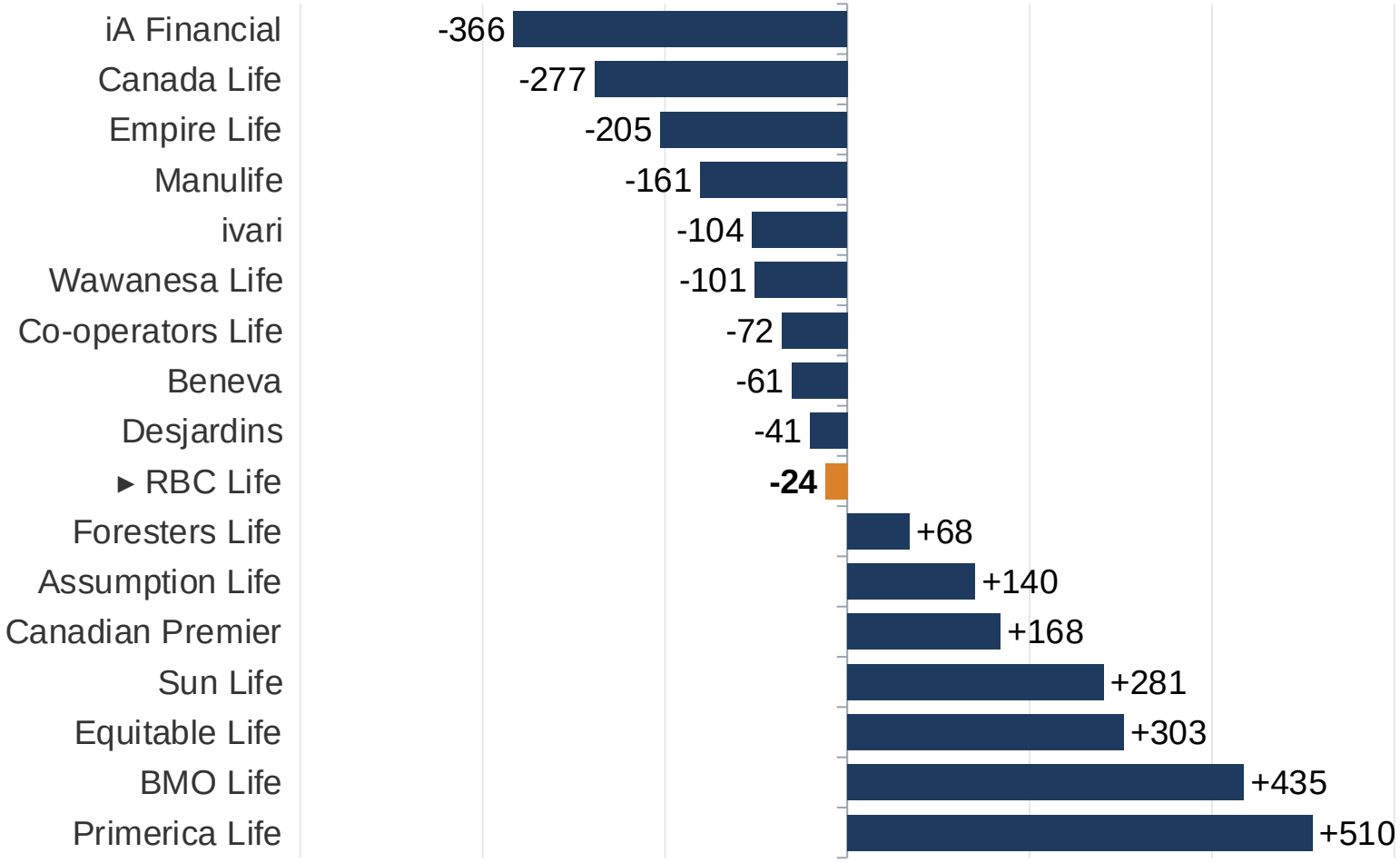
RBC Life profile: fifth-largest book, investment-grade bonds, the lowest disclosure in the peer set

Metric	RBC Life	Peer median
General account (C$Bn)	25.7	9.0
LICAT total ratio	132%	159%
Market risk capital, % invested	3.8%	5.1%
Credit risk capital, % invested	2.5%	2.5%
Equity, RE and PE, % portfolio	14.7%	18.8%
Private credit, % portfolio	19.4%	7.4%
Below investment grade, % bonds	0.09%	0.20%
Liquidity-weighted assets	77.2%	78.2%
Individual life 30y premium	1.72%	1.37%
Market sensitivities	n/d	10 of 20 disclose

Category	Assessment
Business	Royal Bank of Canada's life insurer: individual life, living benefits, annuities (group and individual).
Strengths	99.9% investment-grade bonds; 31.6% government bonds; near-zero credit losses (ECL 0.7 bp).
Weaknesses	LICAT 132% vs 159% median; 37.6% Energy coding; repos 14.1% of portfolio; no sensitivities published.
Posture	Long-duration public bonds plus private placements (11.7%); little real estate or PE; derivative and repo overlay for ALM.

Source: OSFI LCQ, LF2, LF3 (RBC Life Insurance Company, legal entity, FY to 31 Oct 2025; portfolio at 31 Jul 2026); par account size: PolicyAdvisor 2026. n/d = not disclosed.

Discount curves: RBC Life is at the peer median; iA to Primerica spans C$876MM of liability per C$10Bn



Liability vs peer median, C$MM per C$10Bn

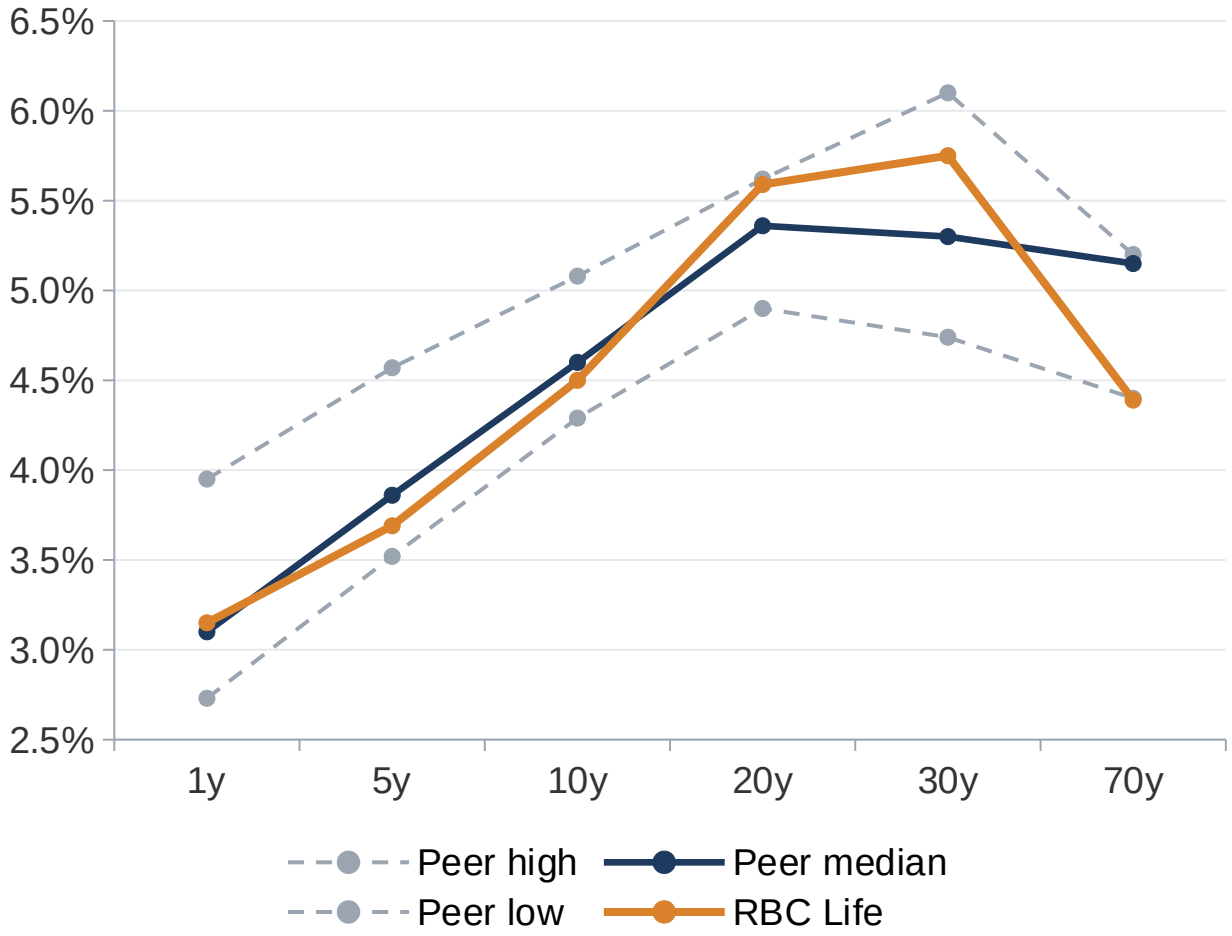
Negative = higher discount rates, smaller liability (more generous). Positive = more conservative.

RBC Life: -24 (-0.24%). Its forward-shaped curve is above the median at 20–30 years (30y premium 1.72%) and below it at 10 and 70+ years, which nets out.

Manulife carries the highest 30y premium (2.05%) but the lowest ultimate risk-free rate (3.40%).

Source: OSFI LF2 P35035–P35065 (most illiquid curve, individual non-par), Q4 2025; iA, Desjardins, Beneva, Assumption 2025 annual reports. Stylised liability: payments falling 4%/yr over 80 years. Analysis: analysis/discount_curves.

RBC Life's curve runs above the peer median at 20–30 years and below it at the long end

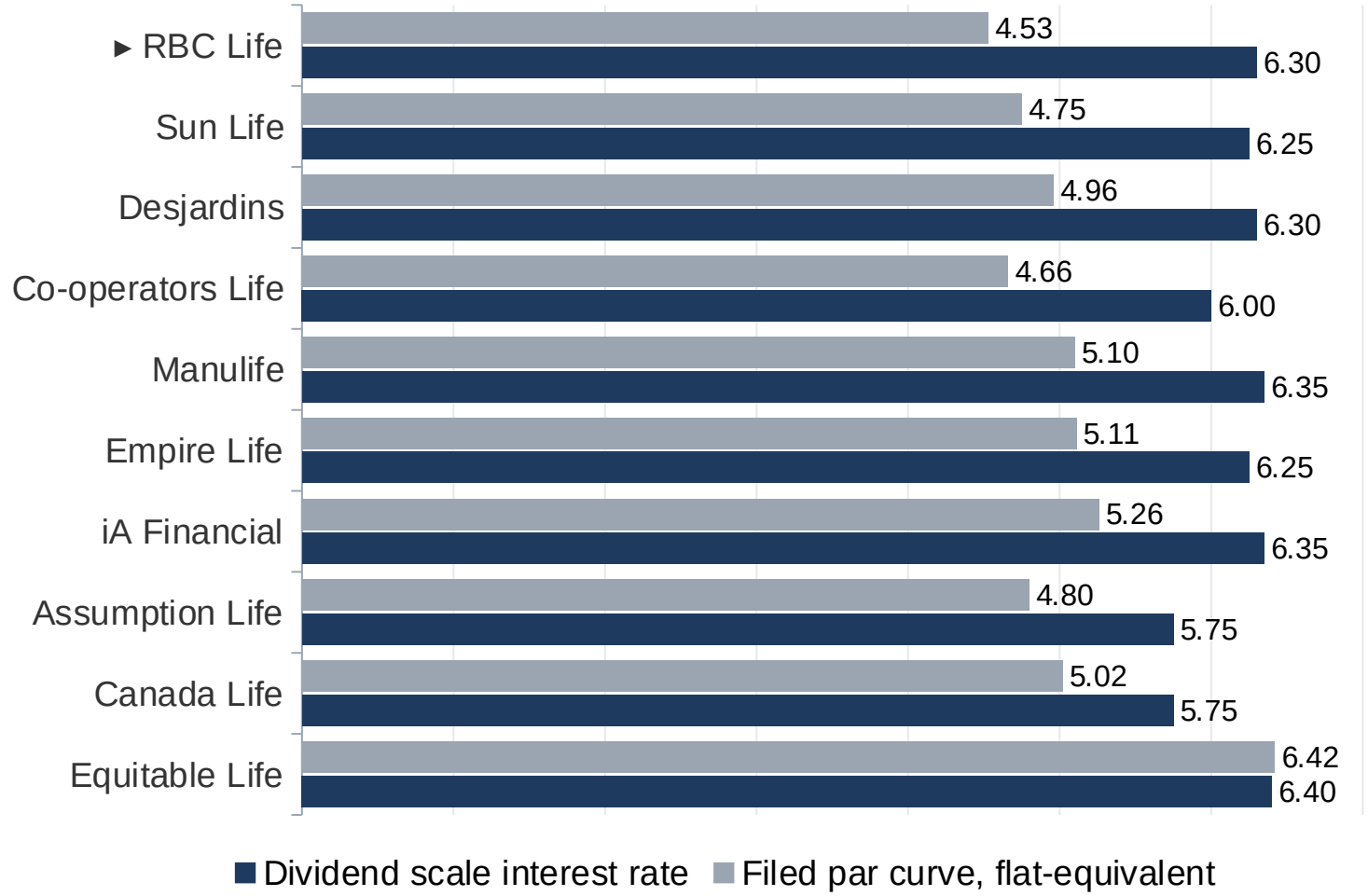


Product, 30y	RBC rate	Median	RBC prem.	Median
Individual life	5.75%	5.30%	1.72%	1.37%
Individual annuity	5.75%	5.30%	1.72%	1.37%
Group annuity	5.75%	5.30%	1.72%	1.28%

- RBC files the same curve for all non-par lines, so its 30y rate (5.75%) and premium (1.72%) exceed the median for every product.
- At 80 years RBC's spot rate is 4.23% against a 5.15% median; its filed ultimate forward is 4.10%.

Source: as previous slide; product lines from OSFI LF2 by line of business, Q4 2025. RBC Life rates are filed as one-year forwards and converted to spot (interpretation, not stated by OSFI).

Par: dividend scale rates run 73–177 bp above filed par curves; RBC Life's 177 bp gap is the widest

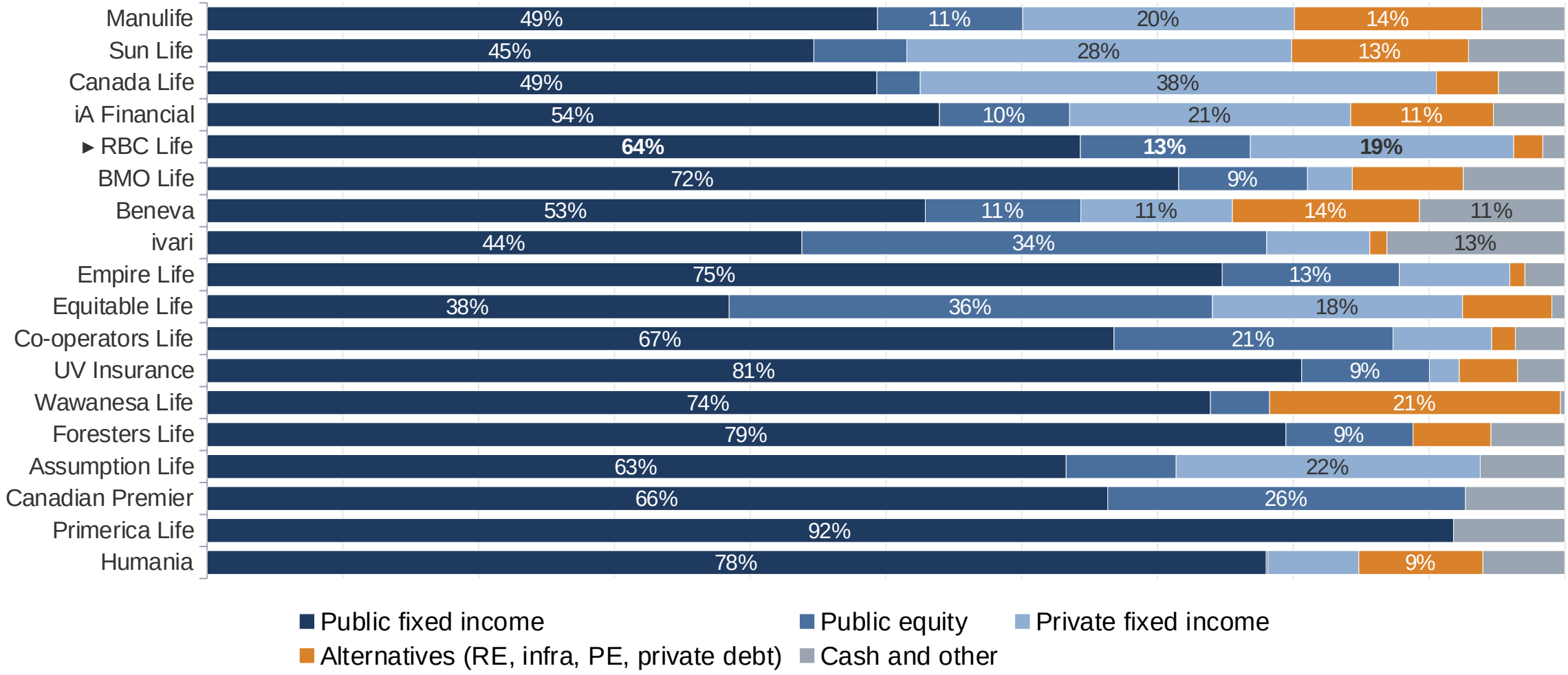


Insurer	Gap, bp	Par acct C$MM
► RBC Life	**+177**	**51**
Sun Life	+150	24,200
Desjardins	+134	n/d
Co-operators Life	+134	2,936
Manulife	+125	15,980
Empire Life	+114	1,320
iA Financial	+109	69
Assumption Life	+95	n/d
Canada Life	+73	62,770
Equitable Life	-2	3,320

RBC's par account is small (C$51MM), so the gap matters more for disclosure than for its balance sheet.

Source: OSFI LF2 par curves (flat-equivalent rate on the stylised liability), Q4 2025; annual-report curves for iA, Desjardins, Assumption; dividend scale interest rates 2025: PolicyAdvisor, RBC and Equitable sites.

Portfolio: RBC Life is 64% public bonds with few alternatives; big three and Equitable lean on private assets



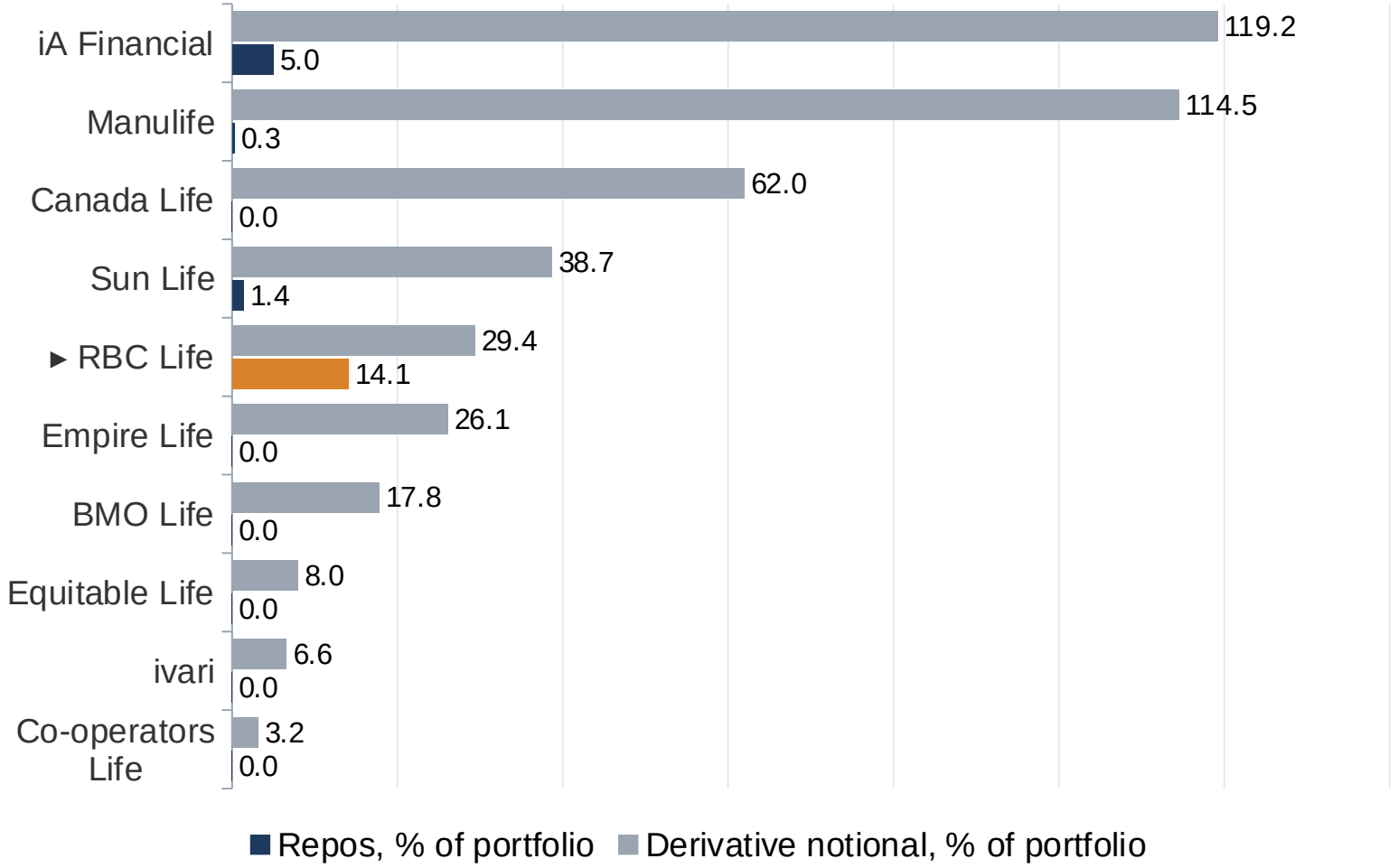
Source: OSFI LF2 P21012/LF1 (OSFI filers, mid-2026); Q2 2026 supplements for Manulife, Sun Life, Great-West Lifeco, iA; 2025 annual reports for Beneva, UV, Humania, Assumption. General account only; Desjardins not published.

RBC Life overweights government bonds and public equity, and holds the least cash of the larger peers

% of general account	▸ RBC Life	Median	BMO Life	Canada Life	iA Financial	Empire Life	Sun Life	Manulife
Corporate Bonds	**32.8**	31.0	54.3	23.5	34.8	34.9	22.3	29.2
Government Bonds	**31.6**	22.6	17.3	25.9	19.1	39.9	14.7	19.4
Asset Backed Securities	**0.0**	0.0	0.0	0.0	0.0	0.0	7.7	0.8
Common Shares	**12.5**	6.5	9.5	3.2	8.5	6.1	6.8	10.7
Preferred Shares	**0.1**	1.0	0.0	0.0	1.1	7.0	0.0	0.0
Commercial Mortgages	**7.7**	2.2	2.1	13.6	2.3	0.6	6.3	6.7
Private placements / term loans	**11.7**	1.9	0.7	24.4	12.4	6.7	22.0	12.2
Policy & Other Loans	**0.0**	0.0	0.5	0.0	5.2	0.8	0.0	1.1
Cash	**1.6**	5.7	7.5	4.9	5.2	2.9	7.1	6.1
Real Estate Equity	**0.0**	0.0	8.2	2.7	3.4	0.0	4.7	2.2
Infrastructure Equity	**0.0**	0.0	0.0	0.0	0.0	0.0	0.0	4.4
Other Private Equity	**2.1**	1.8	0.0	1.8	7.1	1.1	8.3	7.2

Source: as previous slide; % of general account. Peer median across the 18 charted insurers. Private placements are mapped to illiquid term loans.

RBC Life funds 14.1% of its portfolio with repos, about 3x the next peer (iA Financial, 5.0%)



RBC Life, 31 Oct 2025 (C$MM)

Repos: 3,625 (14.1%)

FX derivatives: 3,813 (14.8%)

Equity derivatives: 179 (0.7%)

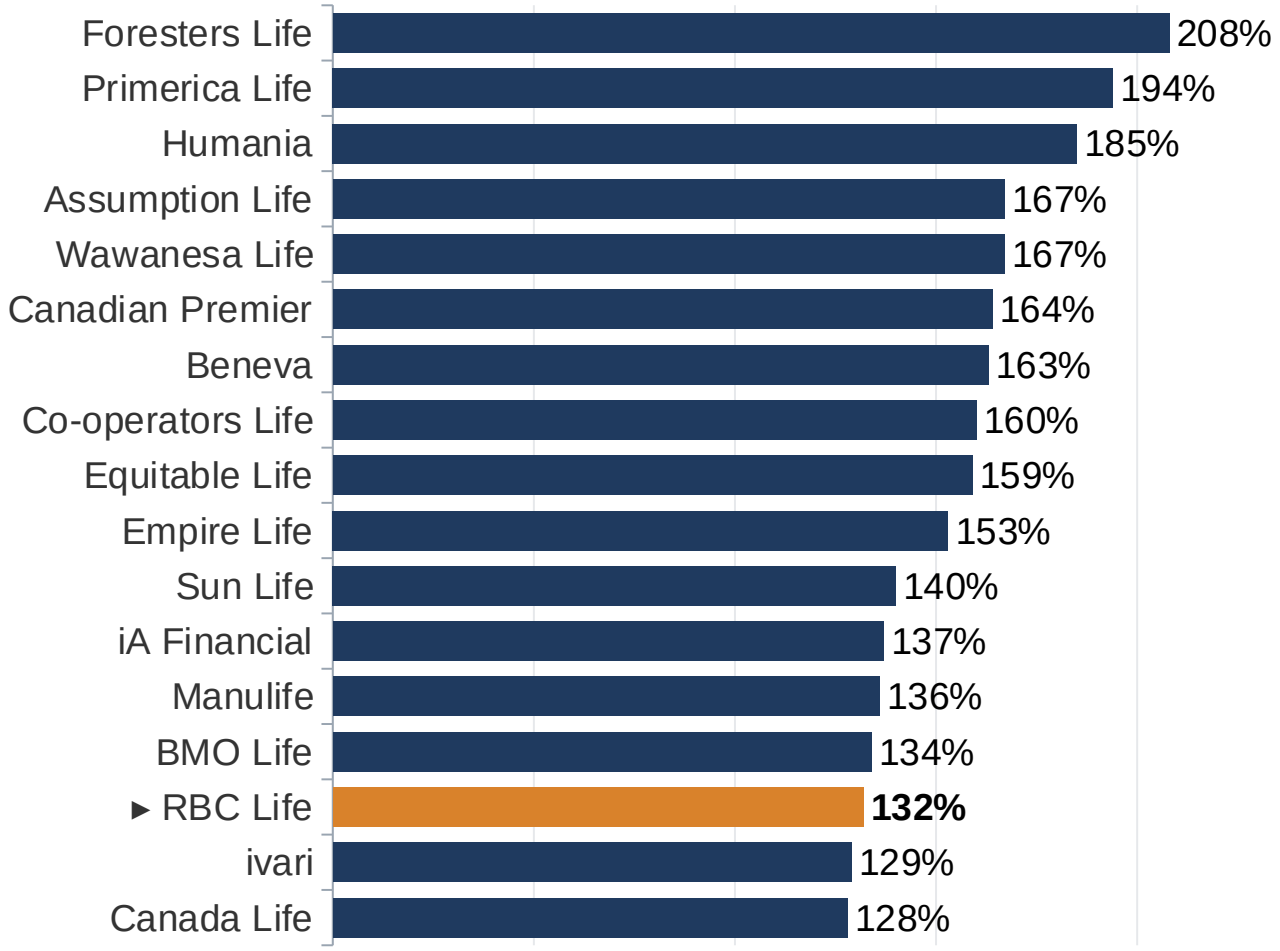
Rate derivatives, linear: 2,782 (10.8%)

Rate derivatives, non-linear: 786 (3.0%)

Repos add leverage and a collateral call in a rate spike. Only iA (5.0%), Sun Life (1.4%) and Manulife (0.3%) report any.

Source: OSFI LF3 P21110 derivative notionals and P22030 row 280 repos, FY2025 (legal entity); iA and Manulife financial statement notes. Securities lending and ISN are not disclosed by any peer.

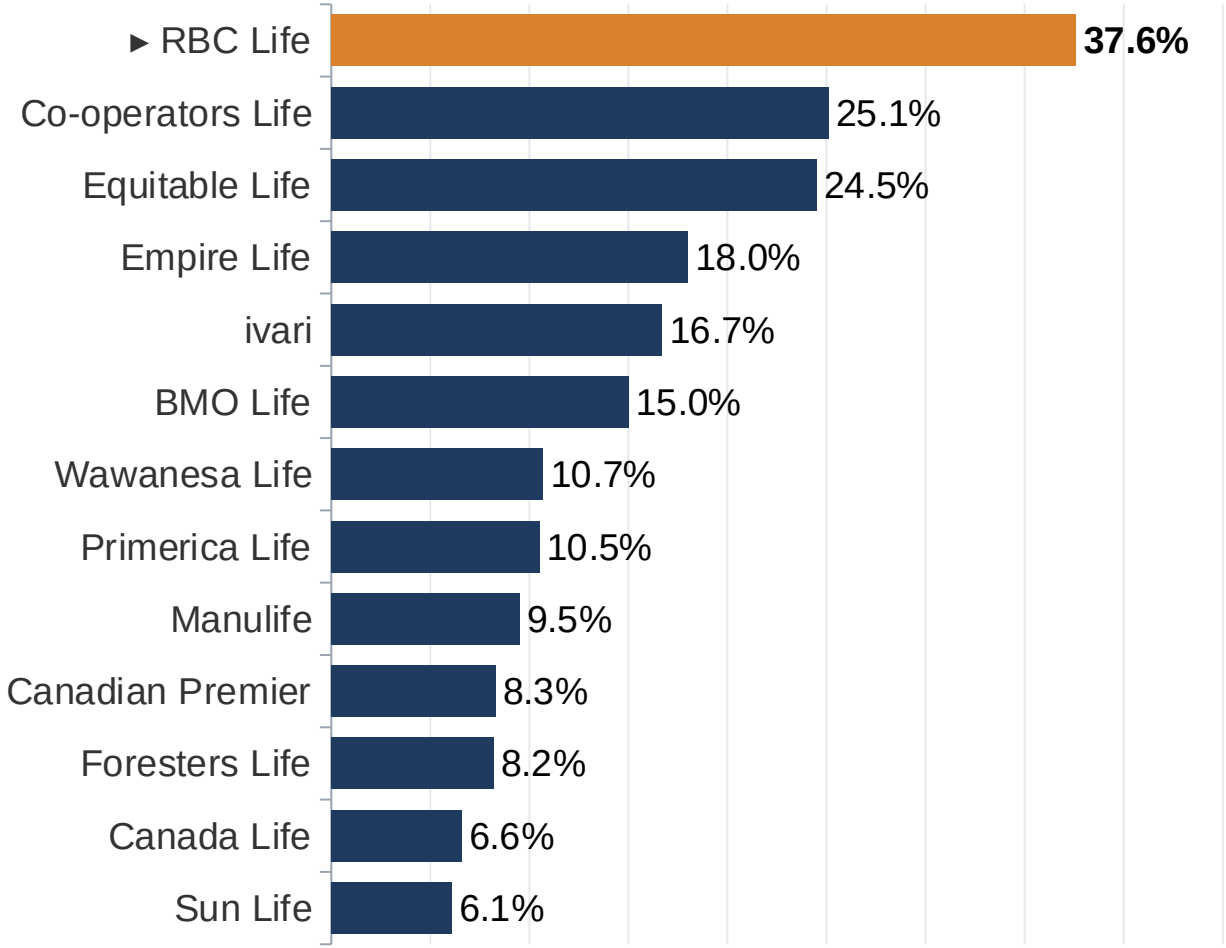
Capital: RBC Life's 132% LICAT ratio is the third-lowest of 17, 27 points below the 159% median



LICAT capital, % invested	Market	Credit
Manulife	5.8	2.8
Sun Life	2.5	2.5
Canada Life	2.5	2.2
► **RBC Life**	**3.8**	**2.5**
BMO Life	4.3	4.2
ivari	3.5	2.2
Empire Life	5.1	1.6
Equitable Life	6.7	1.5
Co-operators Life	6.9	1.6
Wawanesa Life	4.3	1.6
Foresters Life	5.7	4.0
Canadian Premier	5.1	4.3
Primerica Life	14.7	6.9
Median	5.1	2.5

Source: OSFI LCQ (LICAT) and LF2/LF3 returns, FY2025 Q4 (RBC Life, BMO Life: Oct 2025); AMF/annual reports for iA, Beneva, Assumption, Humania. Analysis: analysis/investment_risk.

Credit: RBC Life's bonds are 99.9% investment grade, but 37.6% of its corporates are coded Energy, 3.5x the median

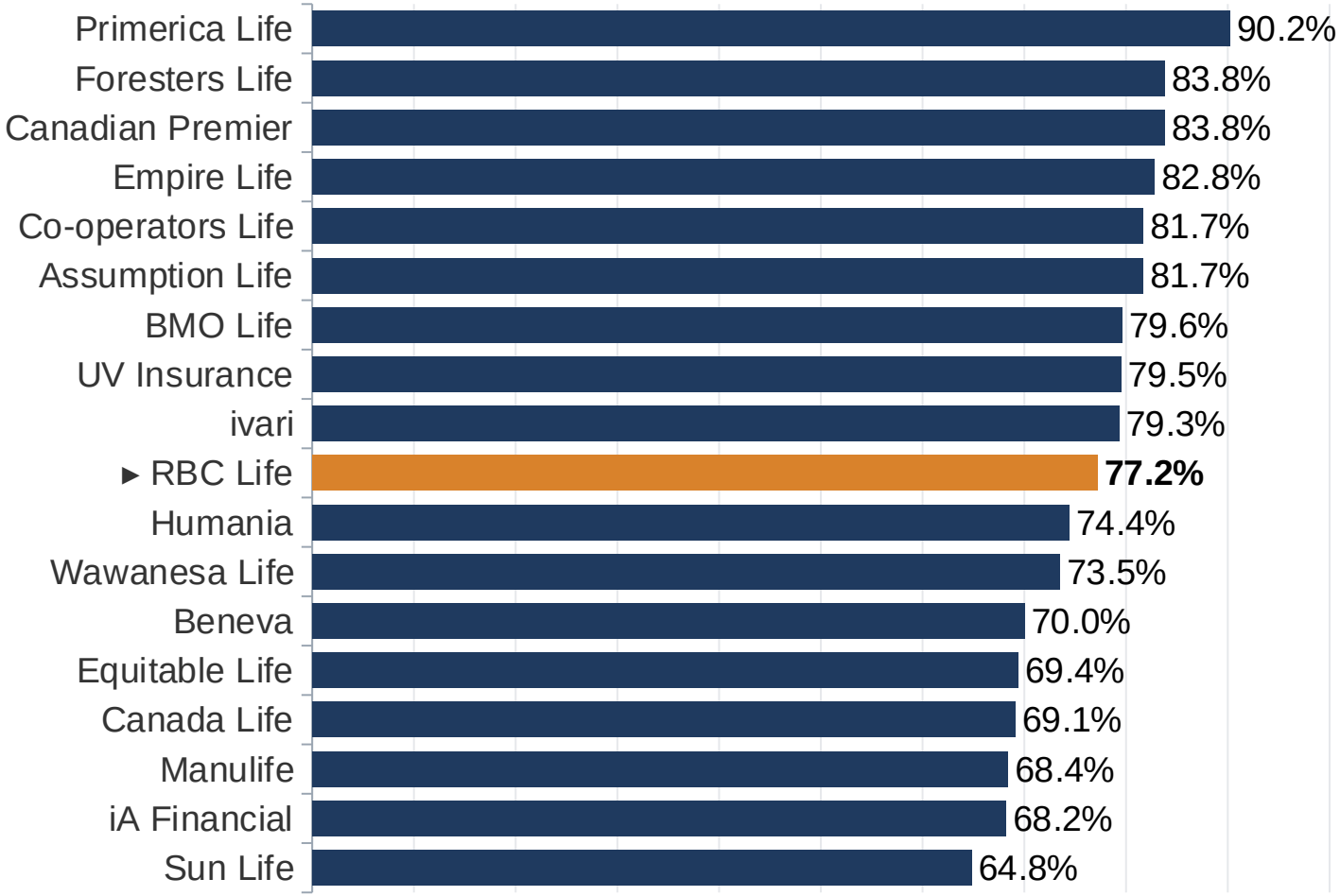


Credit metric	RBC Life	Median
Below investment grade, % bonds	0.09	0.20
BBB, % bonds	n/d	23.9
Private credit, % portfolio	19.4	7.4
ECL allowance, bp invested	0.7	0.0
Problem mortgages, %	0.00	0.04
Largest sector, % corporates	Energy 37.6	35.0
LICAT credit capital, % inv.	2.45	2.45

Manulife carries the most credit risk (4.0% below IG, 19 bp ECL); Sun Life the most problem mortgages (1.2%).

Source: OSFI LF3 P21030 bonds by issuer sector (FY2025 Q4); LF2 P21020 ECL; LF3 P21050 problem mortgages; rating splits from YE2025 annual reports. RBC files no Utilities line, so the Energy share may reflect coding.

Liquidity: RBC Life's liquidity-weighted assets (77%) sit at the median (78%); the big three run the least liquid books



RBC Life vs median

Cash and government bonds (tier 1): 33.2% vs 30.4%.

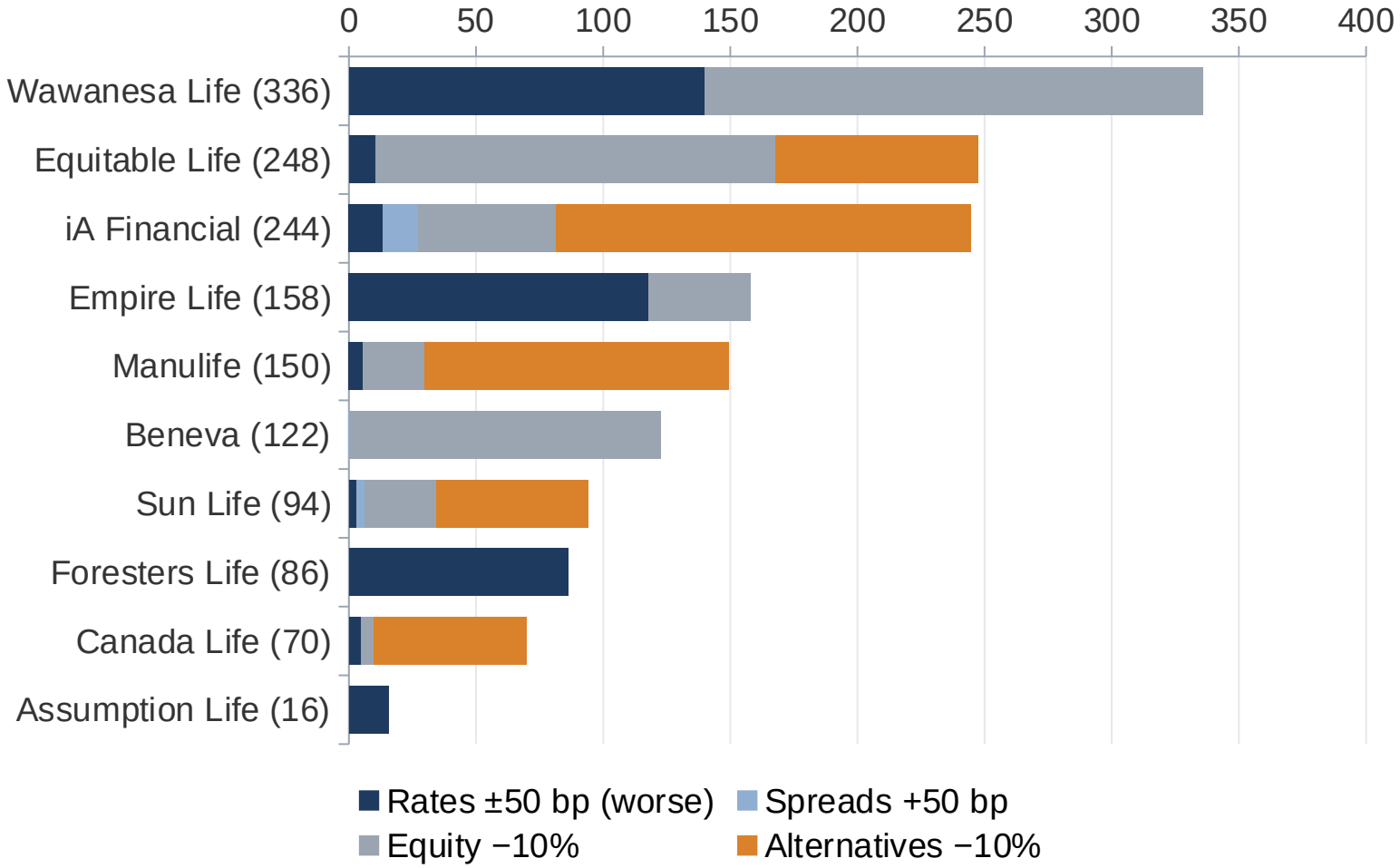
All public, liquid assets (tiers 1–2): 78.5% vs 81.4%.

The weighted ratio ignores funding: the 14.1% repo book draws on the same government bonds that make up RBC's liquid tier.

Only Manulife (60%) and Great-West Lifeco (51%) publish their own liquid-asset measure.

Source: latest general-account mix (portfolio composition analysis). Weights after Doff's weighted liquidity ratio (illustrative): cash 100%, govt 95%, public corporates 85%, ABS and shares 70%, mortgages 50%, private debt 40%, RE/PE 20%, policy loans 0%.

Market risk: moderate shocks cost disclosing peers C$16–336MM on a C$25Bn book; RBC Life publishes no sensitivities



Earnings at risk, C$MM (total in brackets)

After tax where disclosed; Wawanesa and Empire as disclosed, Foresters pre-tax.

Peer median C$136MM. Equity and alternatives drive the large groups; rates drive Wawanesa, Empire and Foresters.

For reference: a C$35MM earnings limit on C$28Bn is about C$31MM on C$25Bn. Only Assumption Life's disclosed shocks fit inside it.

RBC Life, BMO Life, ivari, Co-operators, Canadian Premier and Primerica publish no sensitivities.

Source: YE2025 MD&A and FS sensitivity notes, scaled to C$25Bn of invested assets; ±100 bp and −15% shocks scaled linearly; undiversified sum, gains count as zero. Detail: analysis/investment_risk/disclosed_sensitivities.csv.

Scorecard (1/2): among the ten largest books, only Canada Life and ivari hold less capital than RBC Life

Insurer	Scale C$Bn	Capital ratio	Curve vs median	Equity, RE, PE	Private credit	Liquidity	EaR C$MM
Manulife	●●● 451.3	●○○ 136%	●○○ -1.6%	●●● 24%	●●● 19%	●○○ 68%	●●○ 150
Sun Life	●●● 208.6	●●○ 140%	●●● +2.8%	●●○ 20%	●●● 28%	●○○ 65%	●●○ 94
Canada Life	●●● 99.1	●○○ 128%	●○○ -2.8%	●○○ 8%	●●● 38%	●○○ 69%	●○○ 70
iA Financial	●●● 46.2	●○○ 137%	●○○ -3.7%	●●○ 20%	●●○ 16%	●○○ 68%	●●● 244
▸ RBC Life	**●●● 25.7**	**●○○ 132%**	**●●○ -0.2%**	**●●○ 15%**	**●●● 19%**	**●●○ 77%**	**–**
BMO Life	●●● 18.2	●○○ 134%	●●● +4.3%	●●○ 18%	●●○ 3%	●●○ 80%	–
Beneva	●●○ 12.1	●●○ 163%	●●○ -0.6%	●●● 25%	●●○ 8%	●○○ 70%	●●○ 122
ivari	●●○ 11.8	●○○ 129%	●○○ -1.0%	●●● 36%	●●○ 8%	●●○ 79%	–
Empire Life	●●○ 10.2	●●○ 153%	●○○ -2.0%	●○○ 14%	●●○ 7%	●●● 83%	●●● 158
Equitable Life	●●○ 7.8	●●○ 159%	●●● +3.0%	●●● 42%	●●● 18%	●○○ 69%	●●● 248

●●● = top third of peers on that metric (highest value), ●○○ = bottom third. Curve vs median: liability on own curve vs peer median (negative = more generous). EaR: earnings at risk on C$25Bn (slide 15). – = not available.

Scorecard (2/2): smaller peers hold more capital and liquidity; Wawanesa Life carries the most earnings at risk (C$336MM)

Insurer	Scale C$Bn	Capital ratio	Curve vs median	Equity, RE, PE	Private credit	Liquidity	EaR C$MM
Co-operators Life	●●○ 6.0	●●○ 160%	●●○ -0.7%	●●○ 22%	●●○ 7%	●●● 82%	–
UV Insurance	●●○ 2.4	–	–	●○○ 14%	●○○ 0%	●●○ 80%	–
Wawanesa Life	●○○ 1.3	●●● 167%	●○○ -1.0%	●●● 26%	●○○ 0%	●●○ 74%	●●● 336
Foresters Life	●○○ 0.8	●●● 208%	●●○ +0.7%	●●○ 15%	●○○ 0%	●●● 84%	●○○ 86
Assumption Life	●○○ 0.8	●●● 167%	●●● +1.4%	●○○ 8%	●●● 22%	●●● 82%	●○○ 16
Canadian Premier	●○○ 0.7	●●● 164%	●●● +1.7%	●●● 26%	●○○ 0%	●●● 84%	–
Primerica Life	●○○ 0.4	●●● 194%	●●● +5.1%	●○○ 0%	●○○ 0%	●●● 90%	–
Humania	●○○ 0.4	●●● 185%	–	●○○ 8%	●○○ 1%	●●○ 74%	–
Desjardins	–	–	●●○ -0.4%	–	–	–	–
Canada Protection Plan	–	–	–	–	–	–	–

●●● = top third of peers on that metric (highest value), ●○○ = bottom third. Curve vs median: liability on own curve vs peer median (negative = more generous). EaR: earnings at risk on C$25Bn (slide 15). – = not available.

Consolidation is reshaping the tail of the peer set; bank-owned insurers are pruning non-core blocks

Acquirer	Target	Date	Deal value	Multiple	Rationale
UV Insurance	~200k BMO Life policies (incl. ~15k par)	Jun 2025	~C$50MM premiums	n/d	Assumption reinsurance; doubled UV's members, assets +35%
Sagicor Financial	ivari (from Wilton Re)	Oct 2023	C$375MM	n/d	Canadian platform for a TSX-listed Caribbean group
SSQ + La Capitale	Merger, now Beneva	Jan 2020	n/a (mutual)	n/a	Scale: Canada's largest mutual insurer
Great-West Life	London Life, Canada Life amalgamated	Jan 2020	n/a (internal)	n/a	One Canada Life brand and balance sheet
Foresters Financial	Canada Protection Plan	2017	n/d	n/d	No-medical / simplified issue distribution

For RBC Life: BMO's 2025 sale shows a bank-owned insurer exiting a closed block, a route to release capital if the 132% LICAT ratio becomes binding.

Source: Insurance Portal (9 Jun 2025); Sagicor press release (3 Oct 2023); Beneva and Canada Life announcements (Jan 2020); Insurance Business (Foresters/CPP). Deal multiples not disclosed (n/d).

Scale is the clearest durable investment advantage: the big three originate private assets peers cannot

Group	Scale economies	Switching costs	Intangible assets	Network effects
Big three	Strong: 19–38% private credit, own origination	Strong: large par and annuity in-force	Strong: global brands	Weak
iA, Desjardins, Beneva	Moderate: 15.5% private credit at iA	Moderate	Strong in Quebec	Weak
► Bank-owned (RBC, BMO)	Moderate: RBC 19.4% private credit; BMO 2.8%	Weak: small par (C$51MM at RBC)	Strong: bank brand and branch distribution	Weak
Mid-size	Weak: rely on public markets and equities	Moderate: Equitable par 42% of liabilities	Moderate	Weak
Niche and small	Weak: 0–22% private assets	Weak	Niche distribution (Primerica, CPP)	Weak

Network effects do not apply to investment portfolios; rated Weak throughout.

Assessment based on the metrics in this deck: private credit and alternatives shares (scale), par and annuity in-force (switching costs), brand and bank distribution (intangibles).

For RBC Life: defend the clean credit book, fix the capital buffer, and explain the two concentrations

Durable advantages

- 99.9% investment-grade bonds; ECL 0.7 bp
- Discount curve at the peer median: reserves neither aggressive nor conservative
- Bank brand and distribution (intangible)

Structural vulnerabilities

- LICAT 132%, third-lowest; 27 points under median
- Repos 14.1% of portfolio; Energy 37.6% of corporates
- No sensitivities published; par curve 177 bp under DSIR

Signposts to watch

- LICAT ratio below 125%
- Repos above 15% of portfolio or Energy above 40% of corporates
- 30y premium more than 50 bp above the peer median (+35 bp at YE2025)

Trajectory. RBC Life's LICAT ratio has held at 132–136% since fiscal 2024 (135.6% at fiscal Q3 2026), so the capital gap to peers is structural, not cyclical. Its 30y premium lead over the median narrowed from +35 bp at YE2025 to +17 bp at Q3 2026.

Source: synthesis of slides 2–19. Quantified signposts are proposals for monitoring, not targets set by RBC Life.

Method, coverage and caveats

Discount curves

Most illiquid curve (OSFI LF2 collects only that bucket); premiums for RBC Life and annual-report insurers measured over the median OSFI risk-free curve. 2023Q1 excluded (unit errors).

Par: dividend scale interest rate used as the par rate; ivari, Wawanesa, Beneva have none.

Portfolio composition

General account only; par excluded only for Canada Life and Assumption (the only peers that split it). Beneva includes P&C. Level 1 assigned by asset class.

Investment risk

LICAT market and credit capital cover non-par only, legal entity. Big-three sensitivities are group-wide (Canada Life = Great-West Lifeco incl. Empower). Liquidity weights are illustrative.

Gaps

Humania and UV: no curve. Desjardins: no portfolio or capital ratio. Canada Protection Plan sits in Foresters. RBC's forward-rate reading and Energy coding are unconfirmed.

All figures re-run on 28 Oct 2026; outputs match the earlier dashboards exactly.

Code and data: abiddobani/InsuranceCompanies, analysis/discount_curves, analysis/portfolio_composition, analysis/investment_risk, analysis/summary_deck.